HORIZON FINANCIAL SERVICES LTD.

A Non-Banking Financial Company (NBFC)

Financial Statements for the year ended 31 March 2026

(With comparative figures for the year ended 31 March 2025)

DEMO / SYNTHETIC DATA — FICTIONAL NBFC. Not a real institution. Prepared for financial-statement-review tool testing only.

Statements prepared in the format of Division III of Schedule III to the Companies Act, 2013 (financial statements of NBFCs complying with Ind AS). All figures in Rupees Lakhs unless stated otherwise.

Balance Sheet as at 31 March 2026

(Rs. in Lakhs)

Particulars	Note	Current Year (FY 2025-26)	Previous Year (FY 2024-25)
ASSETS			
Financial Assets			
Cash and Cash Equivalents	3	3,200	2,800
Bank Balances other than Cash and Cash Equivalents	4	1,500	1,200
Loans	5	145,000	128,000
Investments	6	12,500	10,800
Other Financial Assets	7	2,300	2,000
Total Financial Assets		**164,500**	**144,800**
Non-Financial Assets			
Property, Plant and Equipment	8	3,800	3,500
Intangible Assets	9	600	550
Deferred Tax Assets (net)	10	900	850
Other Non-Financial Assets	11	1,200	1,100
Total Non-Financial Assets		**6,500**	**6,000**
TOTAL ASSETS		**171,000**	**150,800**

Balance Sheet as at 31 March 2026 (continued)

Particulars	Note	Current Year (FY 2025-26)	Previous Year (FY 2024-25)
LIABILITIES			
Financial Liabilities			
Trade Payables	12	800	700
Debt Securities	13	42,000	36,000
Borrowings (Other than Debt Securities)	14	68,000	60,000
Subordinated Liabilities	15	5,000	4,500
Other Financial Liabilities	16	2,400	2,100
Total Financial Liabilities		**118,200**	**103,300**
Non-Financial Liabilities			
Current Tax Liabilities (net)	17	650	600
Provisions	18	900	800
Other Non-Financial Liabilities	19	550	500
Total Non-Financial Liabilities		2,100	1,900
Total Liabilities		**120,300**	**105,200**
EQUITY			
Equity Share Capital	20	9,000	9,000
Other Equity	21	41,700	36,600
Total Equity		**50,700**	**45,600**
TOTAL LIABILITIES AND EQUITY		**171,000**	**150,800**

Tie-out check: Total Assets (Rs. 171,000 lakhs CY / Rs. 150,800 lakhs PY) equals Total Liabilities and Equity in both years.

Statement of Profit and Loss for the year ended 31 March 2026

(Rs. in Lakhs)

Particulars	Current Year (FY 2025-26)	Previous Year (FY 2024-25)
I. Revenue from Operations		
Interest Income	22,000	19,500
Fee and Commission Income	1,800	1,600
Net Gain on Fair Value Changes	500	400
Total Revenue from Operations (I)	**24,300**	**21,500**
II. Other Income	300	250
Total Income (I + II)	**24,600**	**21,750**
III. Expenses		
Finance Costs	11,200	9,800
Impairment on Financial Instruments	2,400	2,100
Employee Benefits Expenses	2,800	2,500
Depreciation and Amortisation	600	550
Other Expenses	1,600	1,400
Total Expenses (III)	**18,600**	**16,350**
IV. Profit Before Tax (Total Income - Total Expenses)	**6,000**	**5,400**
Tax Expense (Current and Deferred)	**900**	**850**
V. Profit for the Year (IV - Tax Expense)	5,100	4,550

Cash Flow Statement for the year ended 31 March 2026 (Indirect Method, Ind AS 7)

(Rs. in Lakhs) — Current Year only; prior year needs FY 2023-24 closing balances, outside this 2-year dataset.

Particulars	Current Year (FY 2025-26)
A. Cash Flow from Operating Activities	
Profit for the Year	5,100
Adjustments for changes in operating assets and liabilities:	
(Increase) in Loans	(17,000)
(Increase) in Investments	(1,700)
(Increase) in Other Financial Assets	(300)
(Increase) in Bank Balances other than Cash and Cash Equivalents	(300)
(Increase) in Other Non-Financial Assets	(100)
(Increase) in Deferred Tax Assets (net)	(50)
Increase in Trade Payables	100
Increase in Other Financial Liabilities	300
Increase in Current Tax Liabilities	50
Increase in Provisions	100
Increase in Other Non-Financial Liabilities	50
Net Cash Generated from / (Used in) Operating Activities	**(13,750)**
B. Cash Flow from Investing Activities	
(Purchase of Property, Plant and Equipment)	(300)
(Purchase of Intangible Assets)	(50)
Net Cash Used in Investing Activities	**(350)**
C. Cash Flow from Financing Activities	
Increase in Debt Securities	6,000
Increase in Borrowings (Other than Debt Securities)	8,000
Increase in Subordinated Liabilities	500
Net Cash from Financing Activities	**14,500**
Net Increase in Cash and Cash Equivalents (A+B+C)	**400**
Cash and Cash Equivalents at the Beginning of the Year	**2,800**
Cash and Cash Equivalents at the End of the Year	**3,200**

Notes Forming Part of the Balance Sheet

(Rs. in Lakhs)

Note 3 - Cash and Cash Equivalents

Particulars	Current Year (FY26)	Previous Year (FY25)
Cash on Hand	200	180
Balances with Banks	3,000	2,620
Total (Note 3)	**3,200**	**2,800**

Note 4 - Bank Balances other than Cash and Cash Equivalents

Particulars	Current Year (FY26)	Previous Year (FY25)
Fixed Deposits with Banks	1,500	1,200
Total (Note 4)	**1,500**	**1,200**

Note 5 - Loans

Particulars	Current Year (FY26)	Previous Year (FY25)
Term Loans	98,000	86,000
Working Capital Loans	47,000	42,000
Total (Note 5)	**145,000**	**128,000**

Note 6 - Investments

Particulars	Current Year (FY26)	Previous Year (FY25)
Government Securities	8,000	7,000
Mutual Funds	4,500	3,800
Total (Note 6)	**12,500**	**10,800**

Note 7 - Other Financial Assets

Particulars	Current Year (FY26)	Previous Year (FY25)
Security Deposits	900	800
Interest Accrued but not Due	1,400	1,200
Total (Note 7)	**2,300**	**2,000**

Note 8 - Property, Plant and Equipment

Particulars	Current Year (FY26)	Previous Year (FY25)
Office Premises	2,600	2,400
Furniture, Fixtures and Vehicles	1,200	1,100
Total (Note 8)	**3,800**	**3,500**

Note 9 - Intangible Assets

Particulars	Current Year (FY26)	Previous Year (FY25)
Computer Software	600	550
Total (Note 9)	**600**	**550**

Note 10 - Deferred Tax Assets (net)

Particulars	Current Year (FY26)	Previous Year (FY25)
Deferred Tax Assets (net)	900	850
Total (Note 10)	**900**	**850**

Note 11 - Other Non-Financial Assets

Particulars	Current Year (FY26)	Previous Year (FY25)
Prepaid Expenses	500	450
Advances to Vendors	700	650
Total (Note 11)	**1,200**	**1,100**

Note 12 - Trade Payables

Particulars	Current Year (FY26)	Previous Year (FY25)
Trade Payables	800	700
Total (Note 12)	**800**	**700**

Note 13 - Debt Securities

Particulars	Current Year (FY26)	Previous Year (FY25)
Non-Convertible Debentures	30,000	26,000
Commercial Paper	12,000	10,000
Total (Note 13)	**42,000**	**36,000**

Note 14 - Borrowings (Other than Debt Securities)

Particulars	Current Year (FY26)	Previous Year (FY25)
Term Loans from Banks	50,000	44,000
Cash Credit / Working Capital Facilities	18,000	16,000
Total (Note 14)	**68,000**	**60,000**

Note 15 - Subordinated Liabilities

Particulars	Current Year (FY26)	Previous Year (FY25)
Subordinated Liabilities	5,000	4,500
Total (Note 15)	**5,000**	**4,500**

Note 16 - Other Financial Liabilities

Particulars	Current Year (FY26)	Previous Year (FY25)
Interest Accrued on Borrowings	1,600	1,400
Employee Benefits Payable	800	700
Total (Note 16)	**2,400**	**2,100**

Note 17 - Current Tax Liabilities (net)

Particulars	Current Year (FY26)	Previous Year (FY25)
Current Tax Liabilities (net)	650	600
Total (Note 17)	**650**	**600**

Note 18 - Provisions

Particulars	Current Year (FY26)	Previous Year (FY25)
Provision for Expected Credit Loss (off-Balance Sheet)	550	480
Provision for Employee Benefits	350	320
Total (Note 18)	**900**	**800**

Note 19 - Other Non-Financial Liabilities

Particulars	Current Year (FY26)	Previous Year (FY25)
Statutory Dues Payable	550	500
Total (Note 19)	**550**	**500**

Note 20 - Equity Share Capital

Particulars	Current Year (FY26)	Previous Year (FY25)
Issued and Paid-up Capital (90,00,000 Equity Shares of Rs. 10 each, fully paid)	9,000	9,000
Total (Note 20)	**9,000**	**9,000**

Note 21 - Other Equity (Statement of Changes in Equity)

Particulars	Current Year (FY26)	Previous Year (FY25)
Securities Premium	15,000	15,000
General Reserve	3,600	3,600
Statutory Reserve (u/s 45-IC of the RBI Act, 1934)	11,020	10,000
Retained Earnings	12,080	8,000
Total (Note 21)	**41,700**	**36,600**

Notes to the Financial Statements - Narrative Disclosures

1. Basis of Preparation: The financial statements have been prepared in accordance with Division III of Schedule III to the Companies Act, 2013, applicable to Non-Banking Financial Companies (NBFCs) that comply with Indian Accounting Standards (Ind AS).

2. Statutory Reserve: In accordance with Section 45-IC of the Reserve Bank of India Act, 1934, the Company has transferred Rs. 1,020 lakhs, being 20 percent of the net profit for the year, to the Statutory Reserve, before any dividend is declared, as detailed in Note 21.

3. Loans: Gross Loans stood at Rs. 145,000 lakhs as at 31 March 2026 (Previous Year: Rs. 128,000 lakhs), as detailed in Note 5.

4. Profit for the Year: Profit for the year under review was Rs. 5,100 lakhs, as against Rs. 4,550 lakhs in the previous year, an increase of approximately 12.1 percent, mainly attributable to growth in interest income on loans.

5. Borrowings: Total borrowings (Debt Securities and Borrowings other than Debt Securities) grew to Rs. 110,000 lakhs from Rs. 96,000 lakhs in the previous year, an increase of approximately 14.6 percent, driven primarily by additional term loans from banks.